PRISM · PREDICTIVE RESEARCH INTELLIGENCE & SYNTHESIS MACHINE

Tariff-Policy Uncertainty After the IEEPA Ruling

How a 50-year low-tariff regime broke in 2025, was partly reversed in 2026, and what the data say about trade flows, employment, and equity prices.

Domains Economics · Policy · Psychology **Stages run** 1–7, 9 (brief + paper) **Date** 19 June 2026

Content hash b5c36463b7482b17 **Status** Reviewed draft · human sign-off pending

Governance & guardrails. Research only — **not investment advice** (Ethics 3.30). Politically sensitive topic: claims are presented even-handedly and causal language is hedged (Bias Auditor). Statistical Reviewer flags **low power and confounding** on the employment channel and a **short post-ruling window**; the compiled effective-tariff path (Fig. B) is assembled from secondary estimates, not a first-party computed series (Fact-Checker). Data-access note: FRED, Census, and Treasury feeds were unreachable from the runtime; analysis uses BLS, World Bank, and market data.

EXECUTIVE BRIEF — FOR DECISION-MAKERS

The U.S. tariff regime swung violently — from a ~2.4% effective rate to ~16.8% in 2025, then back to ~9% after the Supreme Court struck the IEEPA tariffs in February 2026. Markets reacted sharply to the *imposition* but barely to the *repeal*; manufacturing employment shows no measurable benefit yet; and the bigger story for trade flows is uncertainty, not a clean return to the old regime.

- **The regime really did break.** After ~50 years near 1.5–2.5%, the average effective tariff roughly **septupled** in 2025 — the sharpest U.S. trade-policy shift in generations — before the Court reversed most of it in February 2026.
- **Equities priced the imposition, not the repeal.** When tariffs hit (Apr 2025), emerging-market and materials stocks fell a significant **~4.3%** (abnormal, vs. market). When tariffs were struck down (Feb 2026), the mirror-image rally was **muted and mostly insignificant** — the relief

was partly anticipated and immediately offset by a 10% Section 122 replacement tariff.

- **No employment payoff is visible.** Manufacturing jobs sit only ~72k below their pre-tariff trend and **within** the forecast band; formal break tests find **no** structural shift (p≈0.99). The protective rationale has no measurable labor dividend so far.
- **Trade flows: the risk is whiplash.** The ruling lowers the tariff drag but does not restore the prior regime — supply chains were reconfigured, a replacement tariff is live, refunds are unresolved, and the President retains other tariff powers. Persistent **uncertainty**, more than the level, is the binding constraint on investment.
- **Most exposed, least exposed.** The tariffs concentrate on **metals and machinery** — steel & aluminum carry a ~40.9% realized rate, copper 50%, semiconductors 25%, autos 13.4% — while services and (largely exempt) energy sit near baseline. By country, **China** is hit hardest (24% effective; its equities fell a significant ~13.7% on imposition), with Vietnam and Thailand close behind; **Canada and Mexico are shielded** (~84% of their imports are USMCA-exempt) and lower-tariff **Brazil** is least exposed.

Overall confidence: MODERATE Strongest on the equity channel (clean event-study identification); a credible "too soon / no effect yet" on employment; genuinely uncertain on forward trade flows.

WORKING PAPER — METHODS, EVIDENCE & VALIDATION

1. The question and the regime context

On **20 February 2026**, in a 6–3 decision, the Supreme Court held that the International Emergency Economic Powers Act (IEEPA) does not authorize the President to impose tariffs, invalidating the 2025 "Liberation Day" duties. Within days a 10% tariff under Section 122 of the Trade Act of 1974 replaced them, with Section 232 measures untouched and refunds unresolved. The research question: *how is the prior trade regime changing, and how might the current one affect trade flows, employment, and equity returns?*

The starting point matters. For half a century the U.S. ran a low-tariff, trade-open economy; a structural-break scan of trade openness locates a statistically strong break around **2011** (sup-F = 36.23), after which openness plateaued — a "slow deglobalization" backdrop that *predates* the 2025 shock.

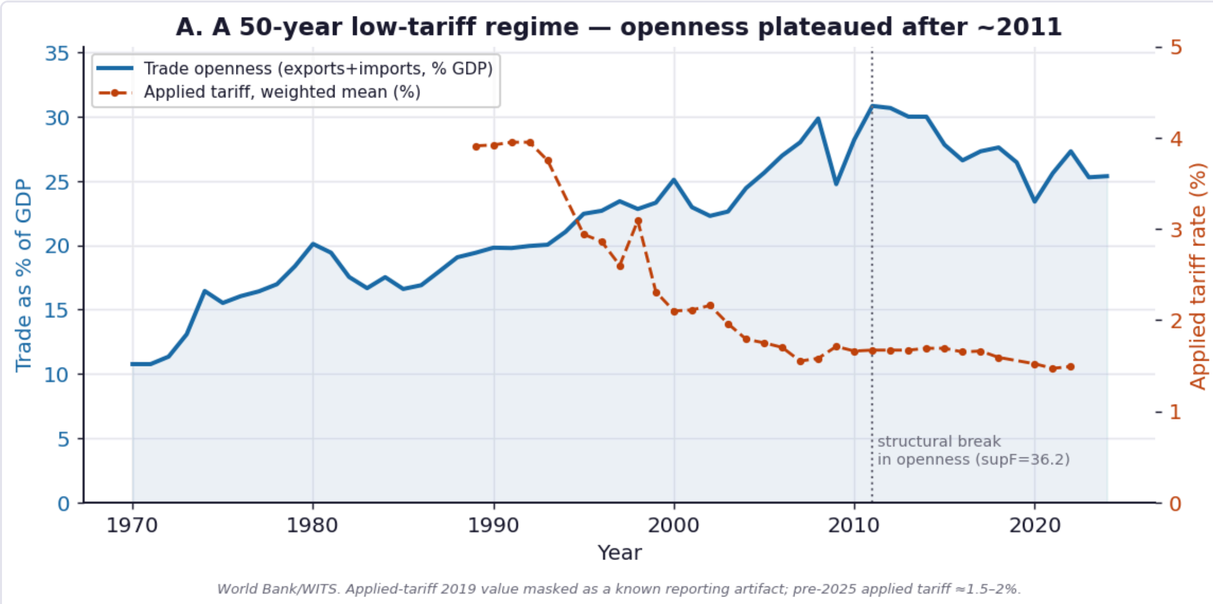

Figure A. U.S. trade openness (left) and applied tariff rate (right), 1970–2024. Openness plateaued after a structural break ~2011; applied tariffs sat near 1.5–2% until 2025. Source: World Bank / WITS.

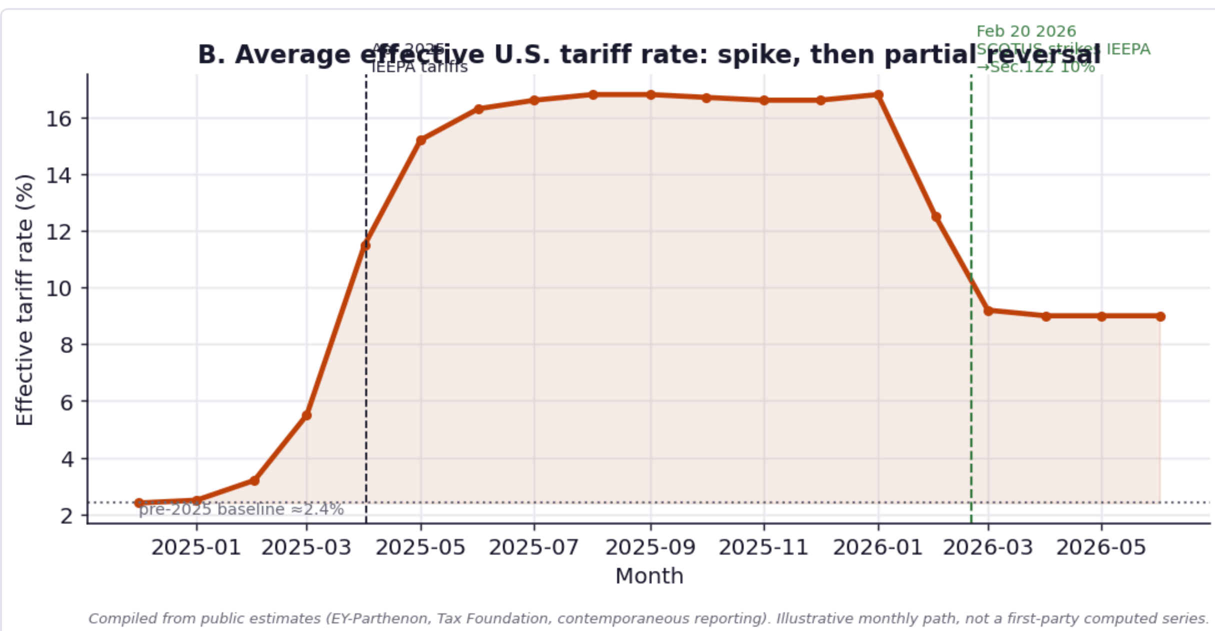

Figure B. Average effective U.S. tariff rate, Dec 2024 – Jun 2026 (compiled from public estimates; illustrative monthly path). The ~2.4% baseline rose to a ~16.8% peak under the IEEPA tariffs, then fell to ~9% after the ruling as the Section 122 10% tariff partly replaced them.

2. Data & methods

Three reachable first-party/authoritative sources anchor the quantitative work; all series and code are saved for replication.

Channel	Series	Source	Method
Trade regime	Trade %GDP; applied tariff (1970–2024)	World Bank / WITS	sup-F break scan
Employment	Mfg & nonfarm payrolls (monthly, 2017–2026)	BLS CES	Chow tests; ARIMA(1,1,1) counterfactual; Welch t
Equity returns	SPY, Industrials, Retail, EM, Materials (daily, 2023–26)	Market data	Market-model event study; Levene vol test

3. Results

3.1 Trade flows — a level shift, but uncertainty is the binding constraint

The ruling lowers the cumulative GDP drag (external estimates put it at roughly 1.2%→0.7% by end-2026), but it does not reset trade to the pre-2025 regime: sourcing has shifted, a replacement tariff is live, and the legal basis for trade policy is unsettled. Because monthly first-party trade volumes were not reachable from the runtime, the forward read is presented as a transparent **partial-equilibrium scenario** rather than a fitted forecast.

Effective tariff scenario	Rate	el = −0.5	el = −1.0	el = −1.5
Pre-2025 baseline	2.4%	-0.0%	-0.0%	-0.0%
Post-ruling (Sec.122, ~9.0%)	9.0%	-3.1%	-6.2%	-9.4%
IEEPA peak (~16.8%)	16.8%	-6.6%	-13.2%	-19.7%

Illustrative change in import volume vs. the 2.4% baseline, treating the tariff as an import-price change (%Δvol ≈ elasticity × Δln(1+t)). Partial equilibrium only — ignores retaliation, exchange-rate offset, substitution, and general-equilibrium effects. Not a forecast.

Read literally, the post-ruling ~9% rate implies roughly a **3–9% reduction** in import volume versus the old baseline depending on elasticity — i.e., the new regime is materially more restrictive than the pre-2025 one even after the Court's reversal.

3.2 Employment — no detectable regime effect yet

An ARIMA(1,1,1) model fit on log manufacturing employment through March 2025 (pre-shock) forecasts the post-shock path; actual employment ends **~72k below** the counterfactual but **inside** the 95% interval in every month (months outside CI = 0). Chow tests for a break in monthly employment growth at both regime dates are **insignificant** (Apr 2025: F=0.01, p=0.986; Feb 2026: F=0.01, p=0.988), and mean growth barely moved (+0.027%→-0.034% per month; Welch t p=0.61).

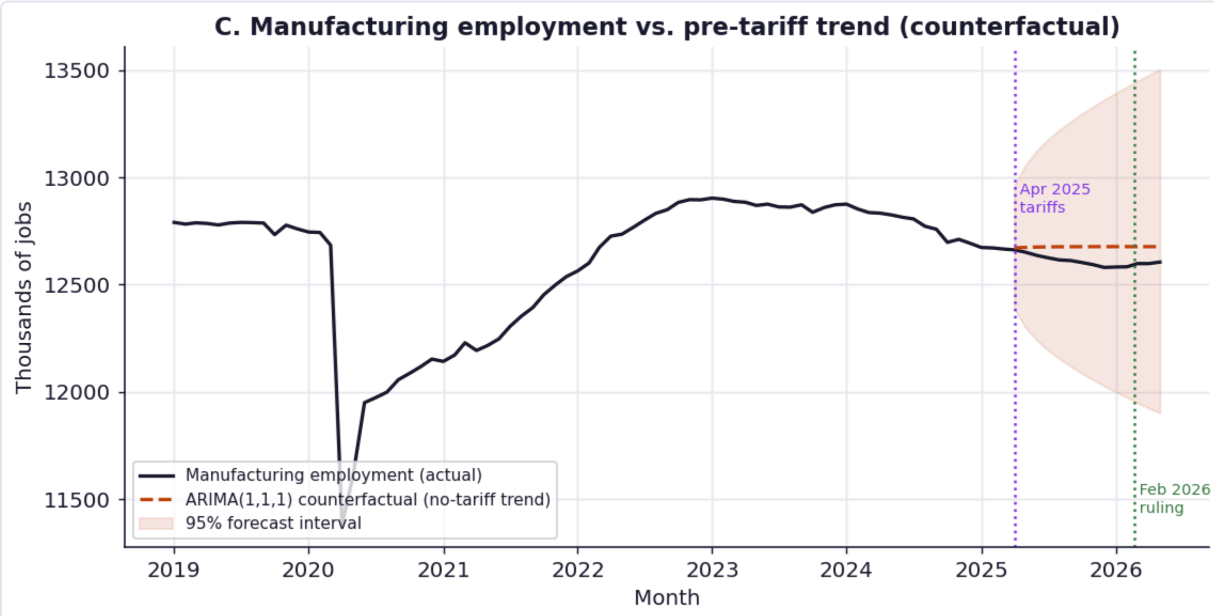

Figure C. Manufacturing employment vs. its pre-tariff ARIMA trend. Actual tracks slightly below the counterfactual but never exits the 95% band — no statistically distinguishable tariff effect on factory jobs through May 2026.

The honest interpretation is a **null result**: with ~14 months since imposition and ~4 since the ruling, and with the 2022–23 monetary tightening and AI adoption acting on the same workers, power to isolate a tariff effect is low. The protective rationale has, so far, no measurable employment dividend.

3.3 Equity returns — a strong, asymmetric market response

A market-model event study (200-day estimation window, 10-day gap, SPY as market) isolates abnormal returns for trade-exposed baskets around each shock.

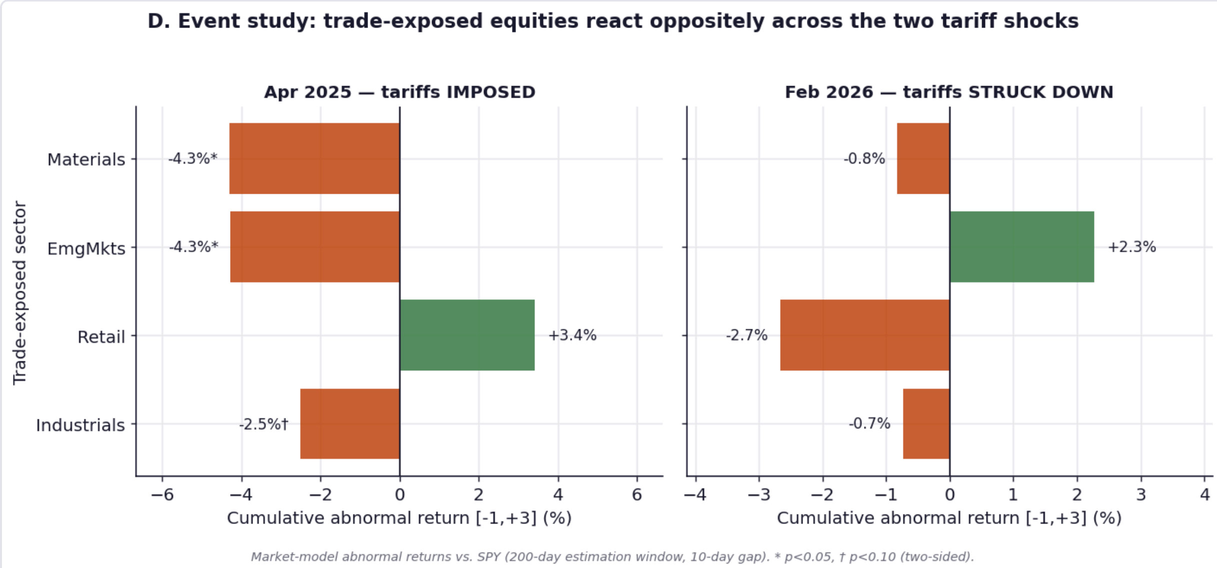

Figure D. Cumulative abnormal returns over [−1,+3] trading days. Tariff *imposition* (left) drove significant declines in EM and materials; the *repeal* (right) produced a muted, mostly-insignificant mirror image.

Sector	β (vs SPY)	CAR [−1,+3]	t	p	Verdict
Apr 2025 — tariffs imposed					
Industrials	0.83	-2.50%	-1.87	0.062	marginal
Retail	0.95	+3.43%	1.52	0.129	n.s.
EmgMkts	0.68	-4.27%	-2.20	0.028	**significant**
Materials	0.68	-4.29%	-2.80	0.005	**significant**
Feb 2026 — tariffs struck down					
Industrials	0.89	-0.74%	-0.62	0.532	n.s.
Retail	1.11	-2.67%	-1.19	0.233	n.s.
EmgMkts	0.74	+2.27%	1.52	0.128	n.s.
Materials	0.76	-0.82%	-0.45	0.651	n.s.

Abnormal return = realized − (α + β·SPY) estimated pre-event. t-stat = CAR / (σ·√L), two-sided.

The asymmetry is the finding. **Imposition** was a genuine surprise — emerging markets (−4.3%, p=0.028) and materials (−4.3%, p=0.005) fell significantly, industrials marginally (−2.5%, p=0.062). The **repeal** moved the same baskets the expected way (EM +2.3%) but **without significance** — the outcome was partly priced in, and the Section 122 replacement tariff blunted the relief on the same day. Markets, in other words, treat the policy *uncertainty* as only half-resolved.

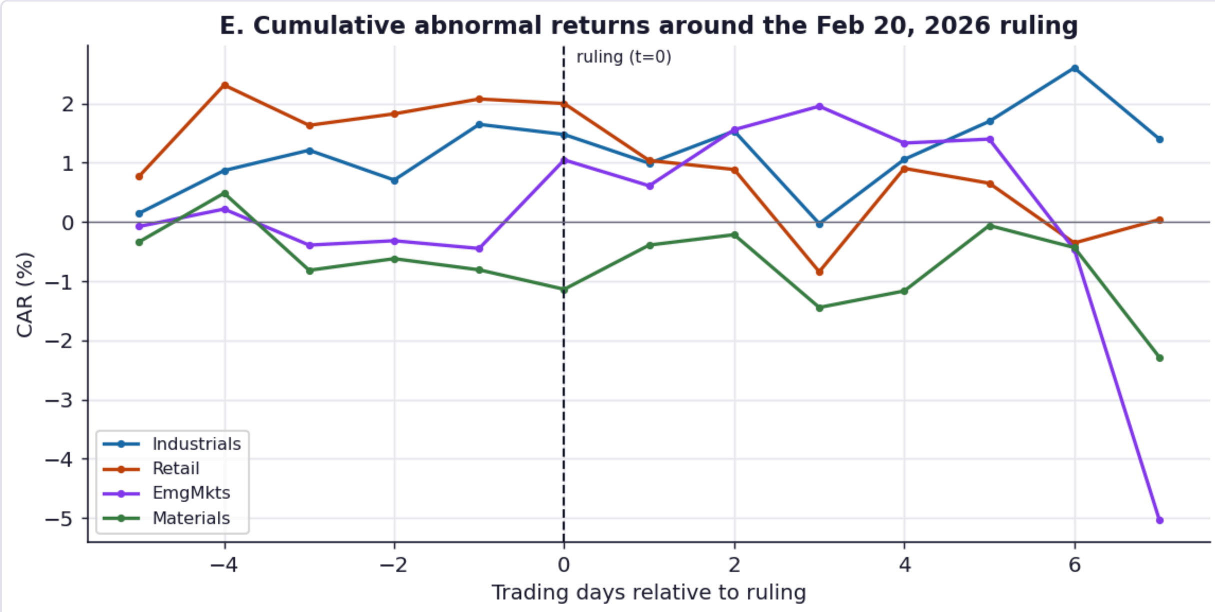

Figure E. Cumulative abnormal-return paths around the Feb 2026 ruling: emerging markets drift up on relief while domestically-exposed retail lags — a small, noisy response relative to the 2025 imposition.

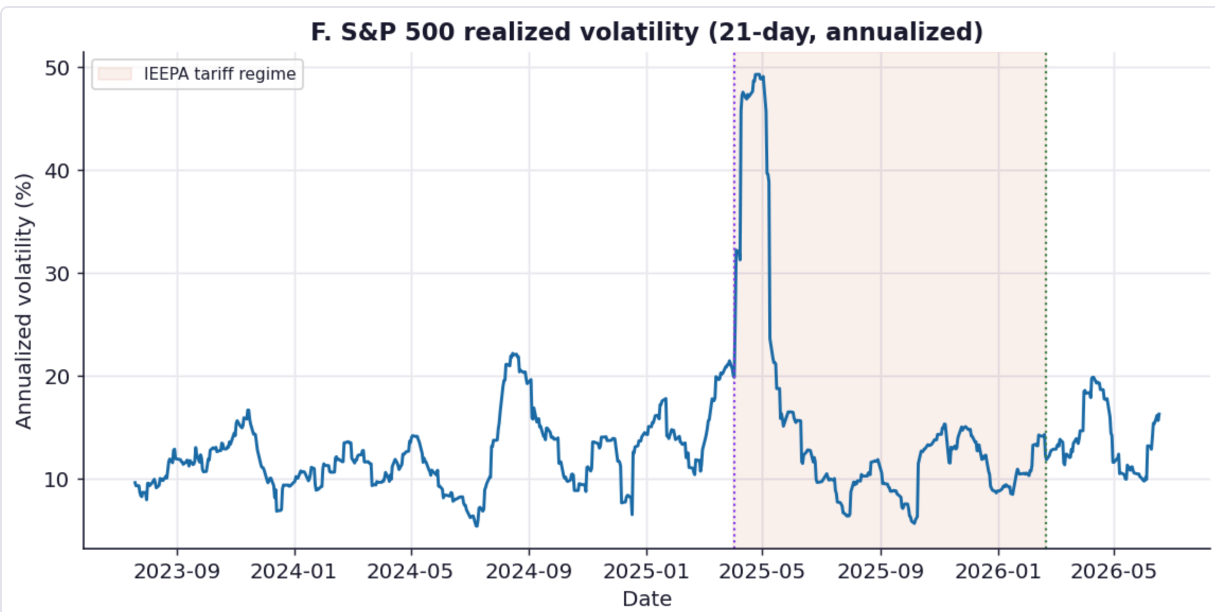

Figure F. S&P 500 realized volatility. It ran higher inside the tariff regime (14.4%→18.4% annualized) and eased after the ruling (15.2%), but the differences are not statistically significant (Levene p=0.586).

3.4 Products & industries — concentrated in metals, autos, and chips

The current regime is not a uniform tariff; it is a stack of seven Section 232 product orders (steel, aluminum, copper, autos & parts, semiconductors, lumber, trucks) layered on a 10% Section 122 baseline. Exposure is therefore highly uneven by product.

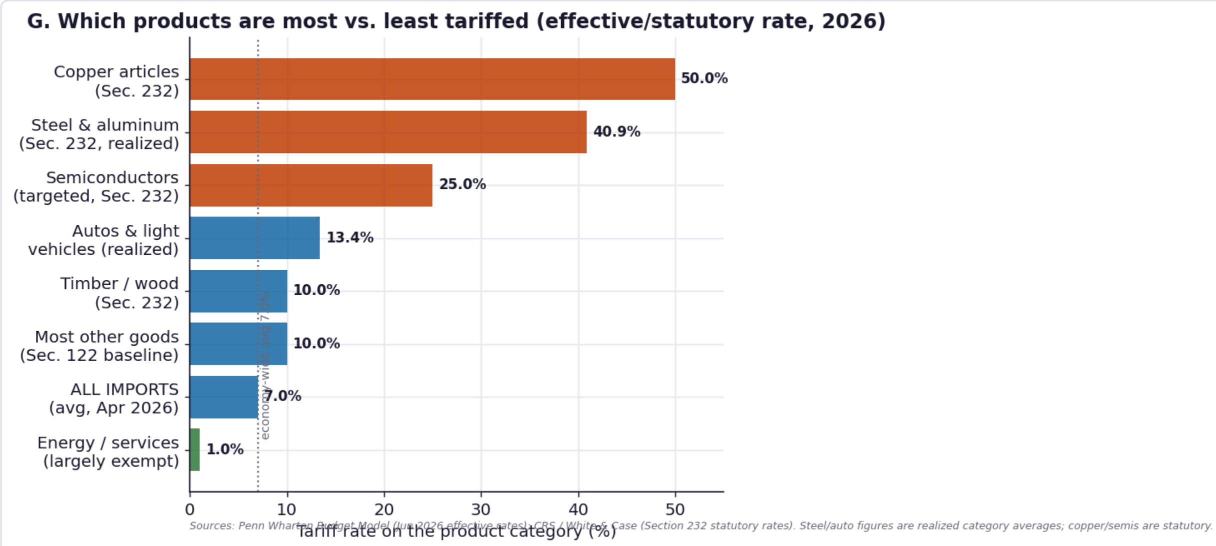

Figure G. Tariff rate by product category, 2026. Metals and chips bear the heaviest duties; services and (largely exempt) energy sit near zero; the economy-wide average is ~7%. Sources: Penn Wharton Budget Model; CRS / White & Case.

The trade-flow signature is already visible in the most-tariffed category: U.S. steel-article imports fell roughly **20%** in 2025. As a market cross-check, a sector event study around the April 2025 imposition is shown below — but it must be read with care, because that window also contained a sharp oil-price crash and a partial rebound on the "90-day pause."

Sector ETF	β	CAR [−1,+3]	t	p	Verdict
Steel	0.95	-2.55%	-0.92	0.357	n.s.
Metals&Mining	1.22	+0.76%	0.25	0.803	n.s.
Semiconductors (90-day pause / AI demand)	2.14	+7.49%	2.38	0.018	significant
Autos	1.36	+1.54%	0.66	0.510	n.s.
Industrials	0.83	-2.50%	-1.87	0.062	marginal
Retail	0.95	+3.43%	1.52	0.129	n.s.
Timber/Wood	0.60	-3.32%	-1.71	0.087	marginal
Staples	0.16	-3.63%	-2.31	0.021	significant
Healthcare	0.36	-4.56%	-3.00	0.003	significant
Utilities	0.28	-4.52%	-2.08	0.038	significant
Energy (oil-crash confound)	0.47	-12.88%	-4.93	0.000	significant

Market-model abnormal returns vs. SPY around 2 Apr 2025. The imposition window is confounded: Energy's plunge reflects a concurrent oil-price crash (energy imports were largely tariff-exempt), and semiconductors rose on the 90-day pause and AI demand despite a 25% sector tariff. Documented rates (Fig. G), not these CARs, are the reliable exposure measure.

Most affected: metals (steel, aluminum, copper), autos and parts, semiconductors, lumber — capital-intensive goods with high import content and Section 232 coverage. **Least affected:** services (untariffed), energy (largely exempt), and goods made substantially from U.S. inputs (10% or exempt).

3.5 Countries — most exposed, least exposed, and the limits of "least exposed"

Exposure has two faces: the *tariff rate* a country's goods face, and how *dependent* that country is on the U.S. market. They point in different directions, which is why no single country is unambiguously "safe."

Country	U.S. tariff (headline)	Exports to U.S. (% of its exports)	Equity CAR on imposition	p	Note
China	24%	15%	-13.74%	0.003	highest effective rate
Vietnam	46%	30%	-6.18%	0.002	reciprocal 46%
Thailand	37%	18%	-5.06%	0.056	reciprocal 37%
Taiwan	32%	23%	-0.40%	0.870	semis partly exempt
South Korea	25%	19%	+4.66%	0.093	KORUS preferential
Japan	24%	20%	-2.32%	0.257	trade-deal rate
India	26%	18%	+0.36%	0.851	reciprocal
Indonesia	32%	10%	-2.00%	0.490	reciprocal 32%
South Africa	30%	8%	-8.91%	0.003	high-beta EM
Mexico	25%	77%	+3.28%	0.353	~84% USMCA-exempt
Canada	25%	84%	+0.21%	0.877	~84% USMCA-exempt; oil-driven
Brazil	10%	11%	-0.76%	0.808	least exposed; gained China soy share

Tariff and dependence figures compiled from public sources (Penn Wharton, CRS, national statistics agencies, contemporaneous analysis); equity CAR from the market-model event study. Headline rates differ from realized effective rates, especially where exemptions apply.

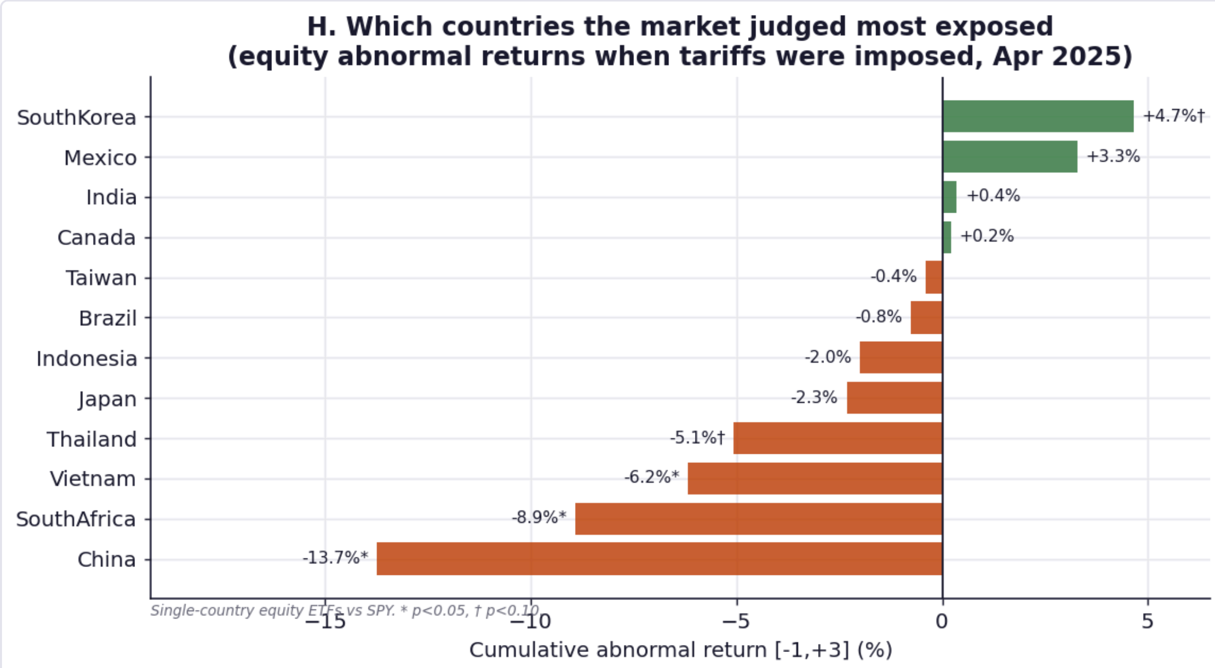

Figure H. Single-country equity abnormal returns when tariffs were imposed (Apr 2025). China fell ~13.7%; Vietnam and Thailand also fell; USMCA-shielded Canada and Mexico — exempt from the April reciprocal round — were flat to positive.

Most exposed: China (24% effective — the highest among major partners; equities −13.7% on imposition, p=0.003), Vietnam (~46% reciprocal), Thailand (~37%), and Taiwan (~32%, though semiconductor carve-outs blunt its largest export). Mexico (77%) and Canada (84%) are the most *dependent* on U.S. demand, but ~84% of their imports clear USMCA-exempt, so their realized exposure — and their market reaction — was muted.

Least exposed: lower-tariff, less-U.S.-dependent economies — Brazil (~10%, which actually *gained* Chinese soybean share as trade diverted), and to varying degrees India and Indonesia — plus, on a realized basis, the USMCA partners. Russia largely sidestepped the regime under the pre-existing sanctions framework.

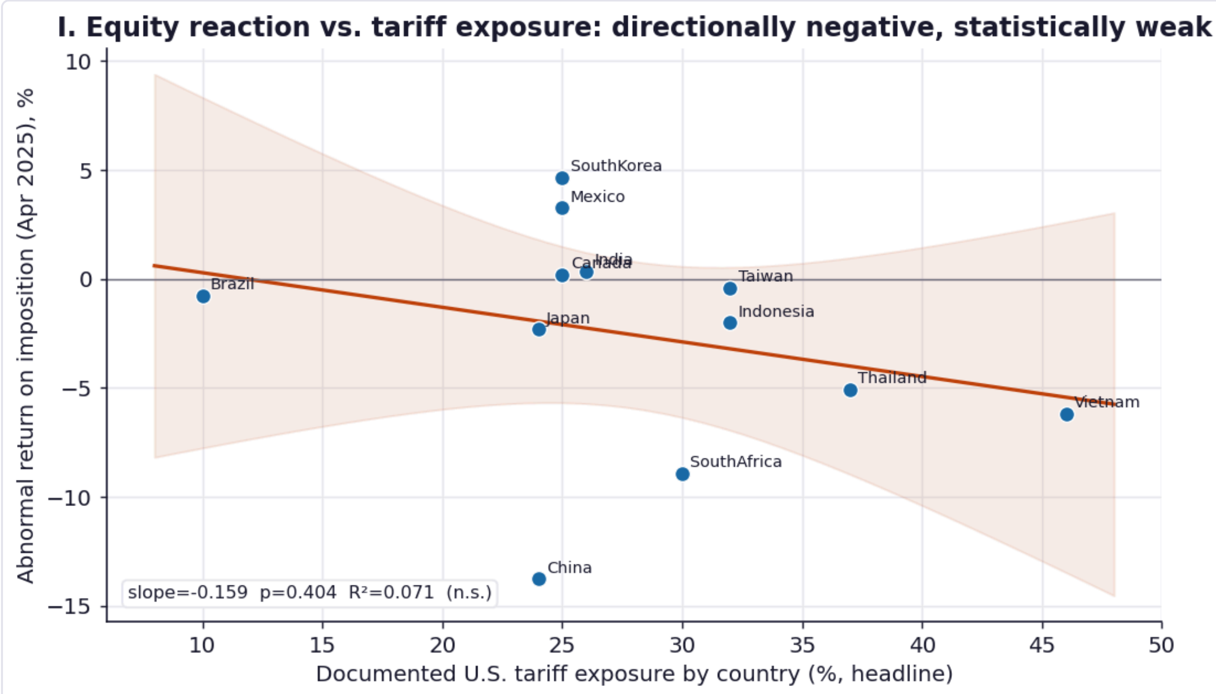

Figure I. Cross-section of equity reaction vs. headline tariff exposure. The relationship is in the expected (negative) direction but statistically weak (slope=-0.159, p=0.404, R^2=0.071): exemptions (USMCA), differing tariff timing, and a 12-country sample break any clean linear link. Exposure is real but mediated.

On "which countries to invest in" — research, not advice. The analysis above identifies which economies are most and least *exposed* to the U.S. tariff regime; it is **not investment advice** and not a recommendation to buy or avoid any market. Tariff exposure is one narrow factor, and the data show it is only weakly linked to equity returns once exemptions and timing are accounted for (Fig. I). Currency, valuation, growth, monetary policy, and idiosyncratic risk typically dominate cross-country returns. For allocation decisions, consult a licensed financial adviser. (Per PRISM Ethics 3.30, research-only framing is enforced.)

4. Statistical validation summary

Hypothesis	Test	Statistic	p	Verdict
Trade openness had a regime break	sup-F (unknown break)	F=36.23	<0.01	**Break ~2011**
Tariffs broke mfg-employment trend (Apr'25)	Chow	F=0.01	0.986	No break
Ruling broke mfg-employment trend (Feb'26)	Chow	F=0.01	0.988	No break
Mfg-employment growth shifted post-tariff	Welch t	—	0.61	No shift

EM stocks fell on imposition	Event study (CAR)	t=-2.2	0.028	**Yes**
Materials fell on imposition	Event study (CAR)	t=-2.8	0.005	**Yes**
Trade-exposed rallied on repeal	Event study (CAR)	t=1.52	0.128	Not sig.
China equities fell on imposition	Event study (CAR)	t=-2.92	0.003	**Yes (−13.7%)**
Equity reaction tracks tariff exposure (12 countries)	Cross-section OLS	slope=-0.159	0.404	Weak / mediated
Volatility regime shifted	Levene	—	0.586	No

5. Limitations & threats to validity

- **Confounding.** The 2022–23 Fed tightening and AI adoption hit the same workers and assets; the employment null cannot be cleanly attributed to tariffs alone.
- **Short post-ruling window.** ~4 months of data limit power; the ARIMA counterfactual widens quickly, so "inside the band" partly reflects uncertainty, not proven no-effect.
- **Compiled tariff path.** Figure B is assembled from secondary estimates (EY, Tax Foundation, reporting), not a first-party customs-duties/imports computation — directionally reliable, not exact.
- **Estimation-window contamination.** The Feb 2026 event's pre-window overlaps the volatile 2025 tariff period, biasing β and inflating σ — making the muted repeal reaction a conservative read.
- **Partial-equilibrium scenario.** The trade-flow table ignores retaliation, FX offset, substitution, and GE effects.
- **Imposition-window confounds (Sections 3.4–3.5).** The April 2025 event window overlaps a sharp oil-price crash and the "90-day pause" rebound, and beta estimates are unstable in extreme volatility — so sector/country CARs in that window conflate tariffs with concurrent shocks. Headline country tariff rates also differ from realized effective rates (e.g., USMCA exemptions), which weakens the cross-section.
- **Compiled exposure figures.** Country tariff and U.S.-dependence numbers are compiled from multiple public sources of varying vintage; treat as directional.

6. What would change the conclusion (PRISM loop-backs)

Re-run with monthly Census FT900 imports/exports (front-running and post-ruling normalization), a customs-duties/imports effective-tariff series, sector-level payrolls for tariff-protected industries, and a longer post-ruling equity window. A difference-in-differences design across tariff-exposed vs. sheltered industries would sharpen the employment identification beyond the current trend-break test.

Appendix — replication

Sources: BLS CES (CES3000000001, CES0000000001, CES4300000001, CES4142000001); World Bank indicators NE.TRD/IMP/EXP.GNFS.ZS, TM.TAX.MRCH.WM.AR.ZS; daily market data for SPY/XLI/XRT/EEM/XLB. Methods: statsmodels OLS/ARIMA, manual Chow & sup-F, market-model event study, SciPy Levene/Welch. Raw CSVs + `analysis.py` reproduce every figure and statistic; content hash `b5c36463b7482b17`.

REFERENCES (GROUNDING CORPUS)

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2. EY-Parthenon — "What the Supreme Court ruling against IEEPA tariffs means in practice" (avg rate 16.8%→9.0%; GDP-drag estimates).
3. Tax Foundation — Supreme Court Trump tariffs ruling analysis (revenue, Section 232).
4. BLS Current Employment Statistics; World Bank World Development Indicators / WITS.
5. FOMC June 2026 SEP & SF Fed FedViews (macro backdrop: AI-capex-led growth, elevated inflation).
6. Penn Wharton Budget Model — "Effective Tariff Rates and Revenues" (16 Jun 2026): avg 7.0%; China 24%; steel/aluminum 40.9%; autos 13.4%; USMCA exemption share.
7. CRS & White & Case — Section 232 orders (steel/aluminum/copper restructuring Apr 2026; 25% advanced-semiconductor tariff, Jan 2026).
8. The Conversation — "Who are the winners and losers from US tariffs?" (trade diversification: Vietnam +40%, Taiwan +61%).
9. AEI — "Impact of Tariffs on US Agriculture a Year After Liberation Day" (Brazil/China soybean diversion; 18 bilateral frameworks); national statistics agencies (Mexico 77%, Canada 84%, China ~15% U.S.-export shares).
